



VA FINANCING · FLORIDA PANHANDLE + COASTAL ALABAMA

Your VA benefit, understood.

Eligibility, funding fees, cash to close and the numbers behind the loan.

THE CLIENT COLLECTION · SEPTEMBER 2026

Gregg Costin

Practical guidance for your next real estate decision.

(850) 266-5005 · PensacolaMilitaryHousing.com

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THE TWO-MINUTE ORIENTATION

What matters. Where to find it.

THE SHORT ANSWER

A VA-backed purchase loan can offer eligible borrowers no required down payment and no monthly mortgage insurance, but eligibility, entitlement, lender approval, property requirements, and closing costs still matter. Compare the complete loan and household budget before deciding how to use the benefit.

- 1

Qualify

Separate eligibility, entitlement and lender approval.
- 2

Calculate

Understand the fee, payment and remaining income.
- 3

Protect

Review the property, cash plan and future use.

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Use this with your team

Official figures carry sources and dates. Worked examples are hypothetical, not current quotes or promises of approval. Your signed contract, lender requirements, insurance policy and military orders control the actual transaction. Keep private documents in the responsible professional's secure channel.

01 Start with eligibility and entitlement

A Certificate of Eligibility is one step in the financing decision.



Ask a VA-experienced lender to obtain or review your Certificate of Eligibility, or COE. Service requirements and eligibility categories differ for veterans, active-duty members, Guard/Reserve

members and qualifying surviving spouses. The COE tells the lender about eligibility and entitlement; it does not approve your income, credit, property, or loan amount.

Three separate approvals

Question / Evidence

Are you eligible for the benefit?

COE and any required service records

Can you qualify for this loan?

Lender review of income, credit, debts, assets and occupancy

Does this property qualify?

Appraisal, condition, title, insurance and any project/lease review

With full entitlement, VA does not set a loan limit that requires a down payment solely because the price exceeds a county limit. The lender still determines what you can afford and the property must meet requirements.

With remaining entitlement, county loan limits and entitlement already used can affect the down payment. Ask for the lender's written entitlement calculation before making an offer.

KEEP IN MIND

A second VA loan may be possible

It depends on remaining entitlement, qualification and a valid occupancy situation. A previous VA purchase does not automatically mean the benefit is exhausted, and it does not automatically mean the next purchase is eligible.

Sources reviewed 2026-09-06: [VA: Home loan eligibility](#) · [VA: Entitlement and loan limits](#)

02 The funding-fee table

Purchase loan percentages verified from VA for this edition.

VA purchase funding fee, unless exempt

Down payment	First use	After first use
Less than 5%	2.15%	3.30%
5% or more, below 10%	1.50%	1.50%
10% or more	1.25%	1.25%

The percentage applies to the base loan amount before the financed funding fee. Your lender confirms use history, down payment treatment and exemption status.

The funding fee can be paid at closing or financed into a VA purchase loan. It is different from monthly mortgage insurance. A financed fee increases

principal and interest expense; an exemption can therefore affect both initial cash needs and the loan balance.

Ask the lender to verify any exemption

- ☐ VA disability compensation, including qualifying entitlement to compensation where retirement or active-duty pay is received instead.
- ☐ A qualifying surviving spouse receiving Dependency and Indemnity Compensation.
- ☐ Certain proposed or memorandum ratings establishing qualifying compensation eligibility before closing.
- ☐ An active-duty Purple Heart recipient with the required evidence before closing.

KEEP IN MIND

Zero down does not mean zero closing cash

Other lender, title, prepaid tax/insurance, escrow and transaction expenses may remain. On a purchase loan, VA says only the funding fee can be financed as part of the loan in this way; use the actual Loan Estimate for the rest.

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#)

03

How the fee changes the payment

Illustrative \$400,000 purchase, 30-year fixed loan at 6.00%.

Worked scenarios, not rate quotes

Scenario	Base loan + fee	Illustrative P&I
0% down, first use, not exempt	\$400,000 + \$8,600 = \$408,600	\$2,450
0% down, subsequent use, not exempt	\$400,000 + \$13,200 = \$413,200	\$2,477
5% down, not exempt	\$380,000 + \$5,700 = \$385,700	\$2,312
10% down, not exempt	\$360,000 + \$4,500 = \$364,500	\$2,185
0% down, funding-fee exempt	\$400,000 + \$0 = \$400,000	\$2,398

P&I means principal and interest only. Add buyer-based property taxes, homeowners/wind insurance, flood coverage if selected or required, and association charges. The down payments above are

\$0, \$20,000 or \$40,000; other closing costs and reserves are additional. Do not compare monthly payments without comparing the cash used to obtain them.

Rate sensitivity on a hypothetical \$400,000 loan

Illustrative fixed rate / 30-year monthly P&I



Bars start at zero. Values are the stated example inputs.

KEEP IN MIND

Use a dated lender quote

These selected rates teach payment sensitivity. They are not current advertised rates, APRs, or an offer of credit. Actual pricing depends on the borrower, property, points, lock and lender.

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#)

04 Debt ratio and residual income

VA evaluates the money remaining as well as the ratio.

Debt-to-income ratio compares qualifying monthly debt and housing obligations with qualifying gross income. A hypothetical \$3,200 in total monthly obligations divided by \$8,000 qualifying income is

40%. The regulation uses 41% as a guideline with additional review provisions, not an automatic universal ceiling. Lenders may apply additional requirements.

VA South region residual-income guideline

Household size	Loan \$80,000 or more
1	\$441 per month
2	\$738 per month
3	\$889 per month
4	\$1,003 per month
5	\$1,039 per month

38 CFR 36.4340(e). Florida and Alabama are in the South region. For more than five household members, the table adds \$80 for each additional member up to seven. Separate amounts apply below \$80,000.

Residual income is what remains after the lender’s required deductions for taxes, shelter costs, debts and other obligations. It is not simply gross income minus the mortgage. The regulation includes conditions for military adjustments and additional review. Household counting and qualifying income require the underwriter’s calculation.

KEEP IN MIND

Approval is not your spending target

Childcare, savings goals, travel, maintenance, support commitments and your comfort with uncertainty belong in the household budget even when a loan meets underwriting guidelines.

Sources reviewed 2026-09-06: [38 CFR 36.4340: VA underwriting and residual income](#)

05

Assemble a lender-ready file

Explain the facts once, and keep the documentation current.



Common starting documents, subject to lender requirements

- ☐ Identity, COE/service records, and applicable disability or funding-fee exemption evidence.
- ☐ Recent Leave and Earnings Statements or pay statements, employment history and income documents requested by the lender.
- ☐ PCS orders, expected duty location, and any income change relevant to the move.
- ☐ Bank and investment statements showing funds for closing and reserves.
- ☐ Information about current real estate, mortgages, leases and debts.
- ☐ Explanations and supporting records for unusual deposits, income gaps, recent credit events or self-employment.

Tell the lender about expected separation, retirement, a spouse’s employment transition, a sale that must close first, or a planned assumption of the existing home loan. Stable continuing income and

available funds are central to the analysis. Avoid moving funds or opening new debt without discussing the effect on the file.

YOUR WORKING NOTES · CONFIRM WITH THE RESPONSIBLE PROFESSIONAL

Your financing control sheet

Lender / loan officer / secure upload portal:

COE / entitlement / funding-fee status confirmed:

Comfortable total payment / lender maximum:

Conditions / owner / next deadline:

Sources reviewed 2026-09-06: [VA: Home loan eligibility](#) · [38 CFR 36.4340: VA underwriting and residual income](#) · [CFPB: Get a preapproval letter](#)

06 Appraisal, condition and occupancy

The benefit finances an eligible home under the program’s rules.

A VA appraisal evaluates value and VA minimum property requirements; it does not replace an independent home inspection. Schedule the inspection and appropriate specialist follow-up while the contract gives you options. Discuss any required repairs, value issue, condominium project review, leasehold terms or unusual property features early.

VA purchase financing is intended for eligible occupancy, not a loan selected merely to finance an investment property. Explain your actual occupancy plans to the lender, especially with deployment, PCS

timing, a spouse occupying, or a prior residence you intend to rent.

Ask the lender to document the applicable rule or exception; do not assume every military absence qualifies.

If a problem appears

Issue / Next conversation

Appraisal below contract price Review available contractual and VA/lender options with the agent and lender	Required repair Who completes it, when, with what verification?
Project or leasehold issue What exact document or requirement remains unresolved?	Occupancy timing conflict What facts and evidence support the permitted occupancy arrangement?

KEEP IN MIND

Keep the contract protections clear
Ask the agent and lender to explain the VA-specific provisions and deadlines before signing. Do not assume a generic purchase agreement covers every financing concern.

Sources reviewed 2026-09-06: [VA: Buying with a VA-backed loan](#) · [VA: Home loan eligibility](#)

07

Credits, concessions and cash to close

The category of a seller-paid cost matters.



VA distinguishes ordinary closing-cost credits from seller concessions. Its current guidance limits seller concessions to 4% of the home’s reasonable value, while not imposing that same cap on ordinary closing-cost credits.

Examples of concessions include paying the funding fee, debt payoff, or prepaying the buyer’s hazard insurance. Have the lender classify each requested item before negotiating.

Hypothetical cash-to-close reconciliation

Item	Example
Closing costs, prepaids and escrow	\$12,000
Eligible negotiated seller credit	-\$7,000
Earnest money already deposited	-\$2,000
Remaining example cash to close	\$3,000

Assumes zero down, a separately financed funding fee, and lender approval of all credits. Any appraisal gap, down payment, repair or non-financeable item adds to the need.

The Loan Estimate and Closing Disclosure should explain the actual loan, credits, prepaids and cash to close. For most covered mortgages, you must receive the Closing Disclosure at least three business days before consummation. The lender and closing professional calculate that date and handle changes that require a new waiting period.

KEEP IN MIND

Protect closing funds

Verify wire instructions by calling a trusted number you already know for the closing office. A last-minute email changing banking instructions needs independent confirmation.

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#) · [CFPB: What is a Closing Disclosure?](#) · [CFPB: TILA-RESPA disclosure FAQs](#)

08 Keep the benefit useful after closing

Your exit plan deserves attention before the next set of orders.



After closing

- ☐ Save the final Closing Disclosure, note, mortgage/deed of trust, title policy and insurance documents.
- ☐ Confirm the first payment date, servicer, escrow details and any direct-pay obligations.
- ☐ Apply for property-tax benefits for which you actually qualify.
- ☐ Review insurance when occupancy or rental use changes.
- ☐ If you sell through an assumption, obtain a release of liability and separately resolve entitlement.
- ☐ If considering a refinance, compare total cost, break-even horizon and required benefit, using current lender and VA guidance.

Frequent questions

Question / Answer

Does the COE guarantee approval?

No. Borrower and property underwriting are separate.

Does VA set my mortgage rate?

No. The lender prices the loan; compare offers.

Is every veteran funding-fee exempt?

No. Verify the qualifying exemption.

Does an assumption automatically restore entitlement?

No. Release of liability and entitlement restoration are separate.

YOUR WORKING NOTES · CONFIRM WITH THE RESPONSIBLE PROFESSIONAL

Your next conversation

Remaining question / document needed:

Loan comparison date / planned purchase timing:

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#) · [VA: Entitlement and loan limits](#) · [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Rights of VA loan borrowers, Form 26-8978](#)

FOLLOW THE EVIDENCE

The original guidance.

Consult the source before relying on a changing amount, deadline, policy or contact. Source review: 2026-09-06.

01

VA: Home loan eligibility

<https://www.va.gov/housing-assistance/home-loans/eligibility/>

02

VA: Entitlement and loan limits

<https://www.va.gov/housing-assistance/home-loans/loan-limits/>

03

VA: Funding fee and closing costs

<https://www.va.gov/housing-assistance/home-loans/funding-fee-and-closing-costs/>

04

38 CFR 36.4340: VA underwriting and residual income

<https://www.ecfr.gov/current/title-38/chapter-I/part-36/subpart-B/section-36.4340>

05

CFPB: Get a preapproval letter

<https://www.consumerfinance.gov/owning-a-home/explore/get-a-preapproval-letter/>

06

VA: Buying with a VA-backed loan

<https://www.va.gov/housing-assistance/home-loans/home-buying-process/>

Apply the rule to your situation

This is an educational resource. Your lender, closing professional, insurer, property appraiser and installation offices confirm matters within their roles. No government agency, military installation or lender sponsors or endorses this publication. Source review dates change only after actual verification.

The appearance of U.S. Department of War (DoW) visual information does not imply or constitute DoW endorsement.

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07

CFPB: What is a Closing Disclosure?

<https://www.consumerfinance.gov/ask-cfpb/what-is-a-closing-disclosure-en-1983/>

08

CFPB: TILA-RESPA disclosure FAQs

<https://www.consumerfinance.gov/compliance/compliance-resources/mortgage-resources/tila-respa-integrated-disclosures/tila-respa-integrated-disclosure-faqs/>

09

VA: Assumption entitlement acknowledgment, Form 26-10291

<https://www.vba.va.gov/pubs/forms/VBA-26-10291-ARE.pdf>

10

VA: Rights of VA loan borrowers, Form 26-8978

<https://www.vba.va.gov/pubs/forms/26-8978.pdf>

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Gregg Costin

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in the past year

99.89%

List-to-price ratio
Seller clients

8.1%

Average price reduction
Buyer clients

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MCA® MORE Certified Agent

SRS® Seller Representative Specialist

HFR® Home Finance Resource

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Let's plan your next move.

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Performance figures provided by Gregg Costin, September 6, 2026.

Credentials & recognition: [Brokerage profile](#) · [Biography](#) · Reviewed September 6, 2026. [All contact links](#).

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